

Policy Memo

To: Ministry of Foreign Affairs, Myanmar

From: Neal Bai, Policy Advisor

Date: 16 September 2026

Subject: Bringing the State into Myanmar's Heavy Rare-Earth Trade

Summary

Myanmar is a major source of heavy rare earths, especially dysprosium and terbium, but the central government has limited ability to capture revenue or bargaining power from this position. Much of the mining takes place in conflict-affected areas outside effective state control, while China remains the main buyer and processing destination.

China dependence is only part of the problem. More importantly, much of Myanmar's strategically important rare-earth trade takes place outside central government control. China is difficult to replace because it combines geographic proximity, established cross-border networks, processing capacity, and relationships with organizations controlling the mines. Other countries want diversified supply but face much higher political, logistical, and compliance barriers in Myanmar.

This memo recommends seeking a formal state role in the China-centred trade, while developing smaller channels with India, Japan, and Malaysia in parallel.

Background

Myanmar has become central to the global heavy rare-earth supply chain. Chinese imports of heavy rare-earth oxides from Myanmar rose from 19,500 tonnes in 2021 to 41,700 tonnes in 2023. Global Witness describes Myanmar as the single largest source of these materials and estimates that China controls close to 90 percent of global rare-earth processing capacity.¹

Yet this trade does not operate like a normal national export sector. Much of the production is concentrated in Kachin State, where mining has often taken place outside central government licensing and regulation. In October 2024, the Kachin Independence Army (KIA) seized Panwa, a key rare-earth mining hub.² This limits what Naypyidaw can control.

The importance of rare earths in geopolitics is also growing. China's Ministry of Commerce confirmed in April 2026 that additional export controls remain suspended until late 2026.³ Japan, meanwhile, is actively diversifying its rare-earth supply and strengthening stockpiles

⁴. These developments signal greater attention on rare earths supply security. This gives Myanmar a reason to test its bargaining position.

Analysis

China has structural advantages in Myanmar. The main mining areas sit close to Yunnan, the province that borders Myanmar, with existing roads and traders connected to Chinese buyers. China also has the processing capacity needed to turn Myanmar's raw materials into products. A new buyer would have to build much of this value chain from scratch.

Local armed groups can influence the trade. After the KIA captured the main Kachin mining belt in 2024, Chinese imports fell sharply, while terbium oxide prices rose by nearly 22 percent⁵. But KIA later allowed exports to resume, and Chinese imports from Myanmar increased roughly tenfold from March to April⁶.

This mutual dependence also gives Beijing leverage over the actors controlling production. China reportedly warned the KIA in May 2025 that exports from Kachin, including rare earths, could be blocked unless it halted its offensive on Bhamo. In exchange, China offered KIA greater cross border trade. This shows that although Beijing has no direct control over KIA, the market access could act as an effective bargaining tool⁷.

This suggests a route for the central government to enter the trade at the trade level rather than the mine level. Myanmar's rare earth sector is fragmented. Mining is also expanding in armed-group controlled Shan State, but exports still move mainly to China⁹. A Myanmar-China framework could ask Chinese customs to recognize Myanmar government documentation for cross-border transactions. The first phase could begin with registered traders whose reported exporter, volume, and shipment date can be cross-checked against Chinese import records. This would give Naypyidaw basic visibility over who is exporting, how much, and through which channels. If Chinese customs recognize the documentation, the government would also gain a formal role in a trade that currently bypasses it, creating a basis for future revenue and traceability rules.

Risks still exist. Armed groups could see government documentation as an attempt to reduce their autonomy, while Beijing may prefer the current arrangements and may not want to risk another supply disruption. For that reason, formalization would have to begin with trade that can already be verified rather than being imposed immediately on contested supply.

Alternative partners can expand Myanmar's options, but they are not quick substitutes for China. India has explored access to Myanmar's rare earths but faces difficult transport routes and limited domestic processing capacity⁸. Japan is actively trying to strengthen rare earth supply security, but its government continues to keep political distance from

Myanmar after 2021¹⁰. Malaysia has capacity to process, but its major facilities are already integrated into an established Australian supply chain, reducing its immediate need to source from Myanmar¹¹.

Policy Options

Option 1: Maintain the current structure

The government could remain largely outside the trade while Chinese buyers and local armed actors continue arranging production and exports. This requires little new political effort but leaves the government outside of the revenue and negotiations over one of Myanmar's most valuable strategic resources.

Option 2: Seek a formal trade framework with China

The government could open talks with Beijing on bringing verifiable Myanmar-origin rare earth shipments into a formal framework. The agenda should focus on government-recognized export documentation, customs treatment, revenue arrangements, and information sharing needed to verify shipments.

The framework would not depend on the government control of the mines or agreements with any single armed group. It could begin with trade that can already be verified and expand gradually to other supply. Its main weakness is that Beijing may prefer the current structure, while armed groups could resist arrangements that reduce their autonomy or revenue.

Option 3: Develop limited alternative Asian channels

Myanmar could explore smaller arrangements with India, Japan, Malaysia, and other Asian partners, focused on small-volume supply, processing, financing, or technical cooperation.

These channels may not be China's substitutes, but they could begin to widen Myanmar's options. Political, logistical, and compliance barriers could keep them small for years.

Recommendation

Myanmar should pursue Option 2 as its immediate priority and Option 3 simultaneously. The first track addresses the government's exclusion from the existing trade. The second begins to widen Myanmar's options and reduces its reliance on Beijing alone.

First, MOFA should convene the Ministries of Natural Resources and Environmental Conservation and Commerce in a small rare-earth working group. It should map the main producing areas, the actors controlling them, and the routes through which rare earths enter China. The group should then identify traders that could participate in a formal

reporting system and determine what information the government can realistically collect on each transaction, such as the exporter, volume, and date of shipment.

Then the government should propose a bilateral dialogue with Beijing on whether Chinese customs would recognize Myanmar government documentation for rare earth imports and share import records that could be matched against information reported to Myanmar authorities. The system should begin with traders and transactions that can be cross-checked on both sides of the border, rather than a full-scale implementation.

Additionally, officials should open exploratory talks with India, Japan, and Malaysia on small-volume offtake, processing, financing, and technical cooperation.

Public report of revenues from this scheme should be considered as concentrating gains among narrow political and commercial elites can deepen local grievances.